

Yearly position, performance. Flags with breakouts near the yearly low perform best. Those near the yearly high perform worst, except after upward breakouts in bull markets. There, the middle third of the yearly price range is worst. Just remember that the performance for flags is the move to the trend end, not the ultimate high or low.

Gaps. Only in bear markets after upward breakouts do gaps show a significant performance difference. A flag without a gap tends to perform better in most cases.

Table 34.4 Breakout and Post-Breakout Statistics

Description	Bull Market, Up Breakout	Bear Market, Up Breakout	Bull Market, Down Breakout	Bear Market, Down Breakout
Breakout direction	60% up	46% up	40% down	54% down
Performance of breakouts occurring near the 12-month low (L), middle (M), or high (H)	L 10%, M 8%, H 9%	L 12%, M 10%, H 9%	L -9%, M -7%, H -5%	L -19%, M -14%, H -7%
Performance with breakout day gap	9%	8%	-7%	-15%
Performance without breakout day gap	9%	11%	-8%	-16%
Average gap size	\$0.77	\$0.56	\$0.96	\$0.98

Table 34.5 shows pattern size statistics.

Height. Height is a function of the flag portion of the pattern, not including the flagpole. I measured the height from the top of the flag to the bottom and divided by the breakout price. Flags taller than the median shown in the table outperformed in all cases.

Width. Notice how narrow the median width is. Patterns wider than the median outperform in three of four columns, with bull markets/upward